

OVERHEAD COST & COST DISTRIBUTION IN COST ACCOUNTING- D365 FINANCE AND OPERATIONS

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OVERHEAD COST & COST DISTRIBUTION IN COST ACCOUNTING- D365 FINANCE AND OPERATIONS

Scope of document

This document will cover the overhead cost calculation using cost behavior and cost distribution policy for salary expenses.

Cost distribution policy helps to move the cost from one cost centre to the relevant cost centre using a predefined allocation base.

Overhead cost definition

Overhead costs are indirect business expenses necessary for operating a business but not directly linked to producing a specific product or service. A few examples are given below.

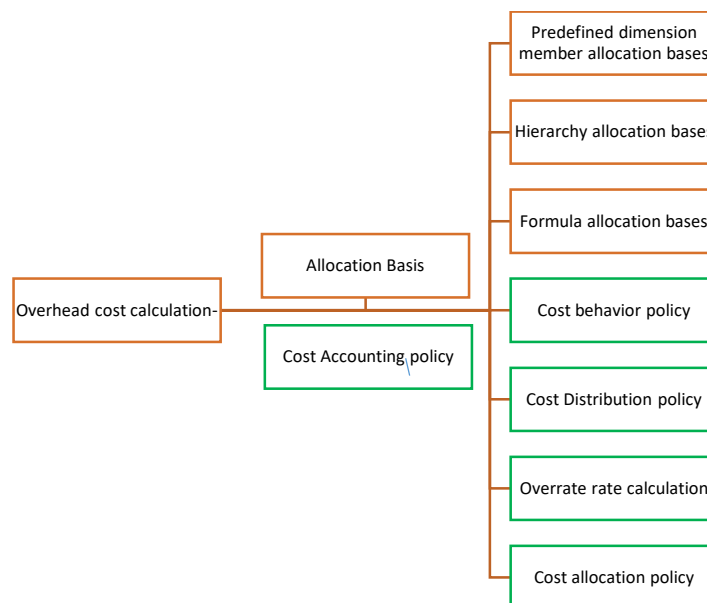
Rent

Insurance

Electricity

Administrative salaries

Overhead cost calculation is based on an allocation base and policy, but for the cost behavior policy run, we don't need a basis for allocation.



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Important policy terms:

Cost Accounting policy		
Cost behavior policy	Classification of costs as either fixed or variable	E.g.: Total salary expenses can be classified as Fixed 60% and Variable 40%. Otherwise, they are shown as unclassified in the report.
Cost Distribution policy:	Cost is distributed from default to the relevant cost centres, based on the selected allocation base.	E.g.: Salary amount paid from the default cost centre needs an allocation to respective cost centres.
	With allocation policy, it is recommended to use it	Will be covered in detail later.
Overhead rate policy	It is used to charge one or more specific cost objects. The charge is based on a predetermined cost rate and assigned magnitude.	Will be covered in detail later.
Cost Allocation policy	It is used to allocate the balance of a cost object to other cost objects by applying an allocation base. The reciprocal allocation method is supported.	Will be covered in detail later.

This document will cover on cost behavior and distribution policy.

Configuration required (Important)

Below are important configuration list and its requirement

- Cost Element dimension – To update GL accounts
- Cost Object dimension – To update cost centres
- Statistical dimension – To update non-monetary measures
- Dimension hierarchy – To use for reporting
- Cost Accounting ledger – To link Cost Element dimension and Statistical dimension, create Cost control units, link to data source, process journals to cost entries, process overhead calculation, review all GL and cost entries, etc.

Cost distribution policies

Cost distribution rules are used to distribute costs from a default or collective cost centre to respective cost centres based on usage or consumption.

E.g:

The salaries of employees (Salaries Manufacturing) were paid from trade shows (007 Cost center) for 21,000 USD. This should be distributed equally to other cost center at the month end (based on the allocation basis).

The journal entry posted is

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Date	Voucher	Deferred	Company	Account type	Account	Description	Debit	Credit	Offset com...	Offset acco
4/18/2026	GNJL001059		usmf	Ledger	600250-001-028-007-		21,000.00		usmf	Ledger

Expected Outcome is to distribute this cost from cost center 007 to 009, 010 cost centers.

Once the distribution rule is assigned and overhead calculation done, the cost entry will clear the balance of 007 cost center and move amount to 009 and 010.

Journal and cost entries

Below entries will reflect in GL and in Cost Accounting:

Original Entry in GL	Account	Dr	CR
	600250-001-028-007-	21,000	
	110110-001-028		21,000

Cost Distribution journal entry	Cost element dimension member	Cost behavior	Amount	Cost object
	600250	Fixed cost	21,000.00	007

Cost Distribution cost entries	Cost object	Debit	Credit
	007		-21000
	009	10,500	
	010	10,500	

Process steps

1- Verify cost element and cost object dimension

Verify cost element and cost object dimension members are updated

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2-Post journal in GL module

Journal is posted by debiting salary expenses to 007 cost center

The screenshot shows the 'General ledger' view in Dynamics 365 Finance and Operations. The breadcrumb trail is 'Finance and Operations > General ledger > Journal entries > General journals'. The 'Journal voucher' is 00650 : GenJrn. The 'Standard view' is selected. The 'Display journal lines' dropdown is set to 'All'. The 'List' tab is active. The table below shows the journal entry details:

Date	Voucher	Deferred	Company	Account type	Account	Description	Debit	Credit	Offset com...	Offset acco...
4/18/2026	GNJL001059		usmf	Ledger	600250-001-028-007-		21,000.00		usmf	Ledger

3-Statistical measure and statistical dimension member update

Imported statistical measure using Data management framework (make sure accounting date is end of month as we run process by giving month end date-**important note**)

The screenshot shows an Excel spreadsheet with the following data:

ACCOUNTINGDATE	DIMENSIO	Dimension	Dimension	Dimension	Dimension	MAGNITU	SOURCEIDENTIFIER
04-30-2026 00:00:00	010					50	Salary percent
04-30-2026 00:00:00	009					50	Salary percent

For statistical dimension member keep unit in percentage, if allocation is based on percentage as per above image

The screenshot shows the 'Statistical dimension members' setup in Dynamics 365 Finance and Operations. The breadcrumb trail is 'Finance and Operations > Cost accounting > Dimensions > Statistical dimensions'. The 'Statistical elements' dropdown is set to 'Standard view'. The 'Statistical dimension members' section is expanded. The 'General' tab is active. The 'Name' field is 'Salary' and the 'Description' field is 'salary'. The 'Unit' dropdown is set to 'pct'.

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4-Create cost accounting ledger

Create a new cost accounting ledger and Validate all mandatory details

Finance and Operations > Cost accounting > Ledger setup > Cost accounting ledgers

Standard view

Cost accounting ledger details

Name: OH calculation april18th | Cost element dimension: Cost elements

General

Field	Value
Name	OH calculation april18th
Cost element dimension	Cost elements
Fiscal calendar	Fiscal
Accounting currency	USD
Exchange rate type	Closing
Statistical dimension	Statistical elements
Description	

Create cost control unit in cost accounting ledger

Finance and Operations > Cost accounting > Ledger setup > Cost accounting ledgers

OH calculation april18th : Cost elements | Standard view

Cost control units

Name: cost center

Cost control units

Name	Dimension	Default cost object dimension hierarchy
cost center	Cost centers	

Once saved come to cost accounting ledger page

5-Verify data source for GL and Statistical measures

Select Actual version> manage>Data source

Finance and Operations > Cost accounting > Ledger setup > Cost accounting ledgers

Manage | Source data processing | Period calculations | Options

Data sources

General ledger | Statistical measures

OH calculation april18th

General

Version: OH calculation april18th

Select configure data provider

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Finance and Operations > Cost accounting > Ledger setup > Cost accounting ledgers

OH calculation april18th: OH calculation april18th | Standard view

Data source details for general ledger entries

Name: USMF data source | Data provider: Dynamics 365 for Finance and Operations

General

Name: USMF data source | Data provider: Dynamics 365 for Finance and Operations | Cost element dimension: Cost elements

Cost object dimension mappings

+ New | Delete

Dimension mapping

We didn't find anything to show here.

Standard view

Configure data provider

CONFIGURE THE DETAILS OF THE DATA PROVIDER

Legal entity: USMF

+ New | Delete

Posting layer: Current | Fiscal period type: Operating

Perform same for statistical measure, but data provider here will be imported data where we bring imported statistical measure and link with statistical dimension member.

Finance and Operations > Cost accounting > Ledger setup > Cost accounting ledgers

OH calculation april18th: OH calculation april18th | Standard view

Data source details for statistical measures

Name: salary in percentage | Data provider: Imported statistical measures

General

Name: salary in percentage | Data provider: Imported statistical measures | Statistical dimension member: Salary | salary

Cost object dimension mappings

+ New | Delete

Dimension mapping

We didn't find anything to show here.

Standard view

Configure data provider

Import source identifier: Salary percent

Function: Sum

DIMENSIONS MAP

Dimension for mapping first column: Cost centers

Dimension for mapping second column:

Dimension for mapping third column:

Dimension for mapping fourth column:

Dimension for mapping fifth column:

6-Process data

Process data source to bring GL transaction to cost accounting

Finance and Operations > Cost accounting > Ledger setup > Cost accounting ledgers

Source data processing

Period calculations | Options

Process data sources

General ledger | Statistical measures

Processed journals

All processing journals

General ledger entry transfer journals

Statistical source entry journals

OH calculation april18th

General

Version: OH calculation april18th

To process General Ledger, verify the period and proceed

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Perform same for statistical measure

Once data processed, Verify cost element journal entry

Accounting date	Debit	Credit	Cur...	Exchange rate	Cost element dimension member	Cost centers
4/18/2026	21,000.00	USD 100.00000000000000			Cost elements 600250	Salaries Manufacturing Cost centers 007 Trade Shows

Select cost entries to see cost data, where data is unclassified in cost behavior column

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Cost object	Fiscal calendar period	Period start	End date	Version	Accounting date	Debit	Credit	Amount	Cost element dimension me...	Cost behavior	Version
OH calculati... cost center	Cost centers	007	Trade Shows	4/18/2026	21,000.00		21,000.00	Cost ...	600250 Salaries ...	Unclassified	OH calculation april18th

View statistical entry:

Journal has the data source displayed

Journal	Journal type	Fiscal calendar period	Version	Created date and time	Created by	Data source
0000000966	Statistical entry transfer journal	Fiscal 2026 Period 4	OH calculation april18th	4/18/2026 7:27:40 AM	Admin	salary in percentage
0000000977	Statistical entry transfer journal	Fiscal 2026 Period 4	OH calculation april18th	4/18/2026 10:40:02 AM	Admin	salary in percentage
0000000978	Statistical entry transfer journal	Fiscal 2026 Period 4	OH calculation april18th	4/18/2026 10:40:02 AM	Admin	salary in percentage

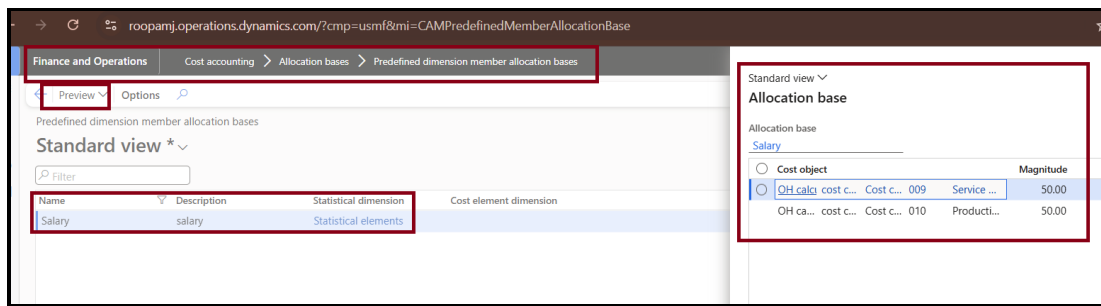
Click journal entry, it shows the magnitude of 50 on each cost centers as we have allocated 50% to each 009 and 010 cost centers.

Accounting date	Magnitude	Statistical dimension member	Cost centers
4/30/2026	50.00	Statistical ... Salary salary	Cost center: 009 Service Oper...
4/30/2026	50.00	Statistical ... Salary salary	Cost cent... 010 Production

7-View allocation base output

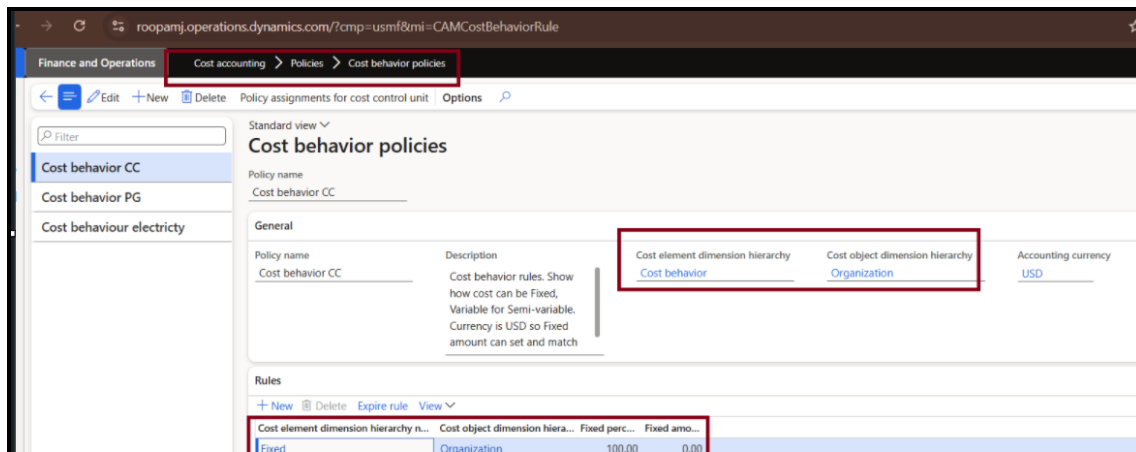
Preview allocation base from predefined dimension member allocation base

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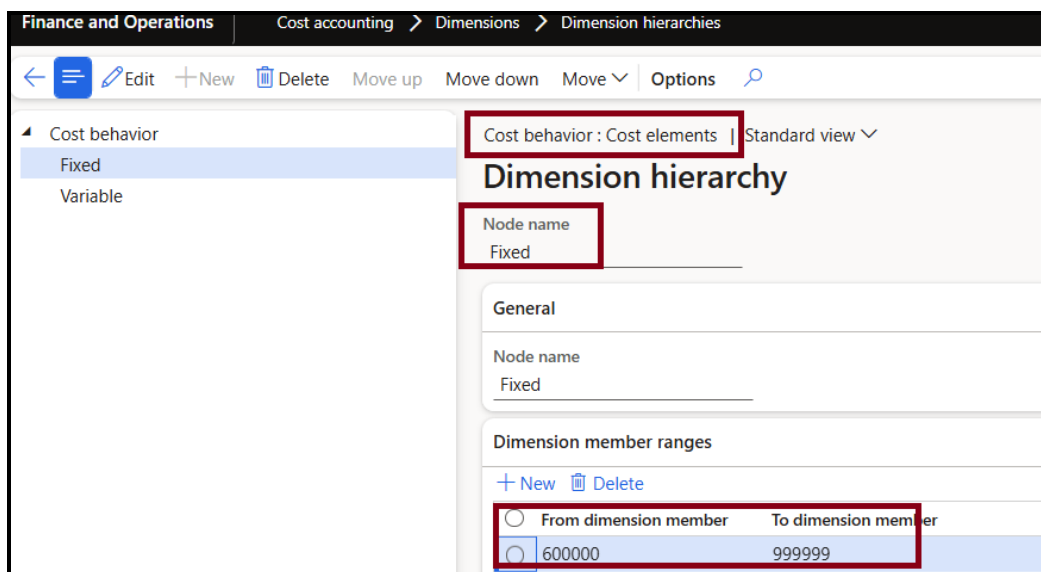


8- Create Cost behavior policy

Here we defined that under Cost element dimension hierarchy node if it is fixed, entire amount (100 percentage) is classified as Fixed.



The linked Dimension hierarchy defines dimension member range and it says that if range is from 600000 to 999999, this is classified as fixed.



And assign cost behavior policy to cost control unit

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Finance and Operations | Cost accounting > Policies > Cost behavior policies

Cost control unit policy assignments | Cost behavior CC

Standard view *

Filter

Valid from accounti...	Valid to accounting...	Cost control unit
1/1/2026	Never	OH calculation april18th cost center

9-Create cost distribution policy

Defined that if cost behavior is fixed, allocate it based on the "salary" allocation base

roopamj.operations.dynamics.com/?cmp=usmf&mi=CAMCostDistributionRule

Finance and Operations | Cost accounting > Policies > Cost distribution policies

Cost distribution policies

Policy name: Cost distribution

General

Policy name	Description	Cost object dimension hierarchy	Cost element dimension hierarchy	Statistical dimension
Cost distribution	Re-distribute cost	Organization	CDS P/L	Statistical elements

Rules

Cost object dimension hiera...	Cost element dimension hierarchy node	Cost behavior	Allocation base
Organization	600250	Fixed cost	Salary

And assign to cost control unit

Finance and Operations | Cost accounting > Policies > Cost distribution policies

Cost control unit policy assignments | Cost distribution

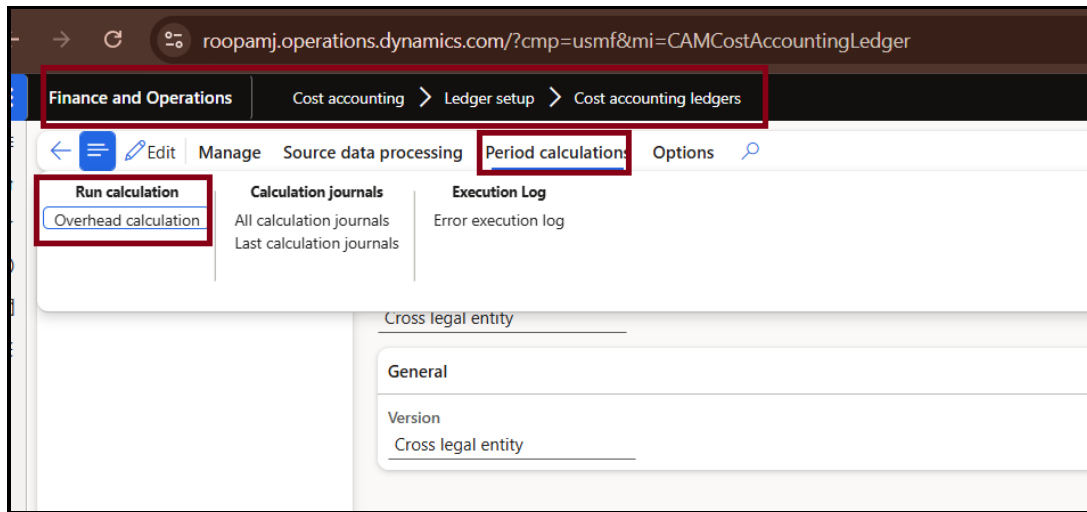
Standard view *

Filter

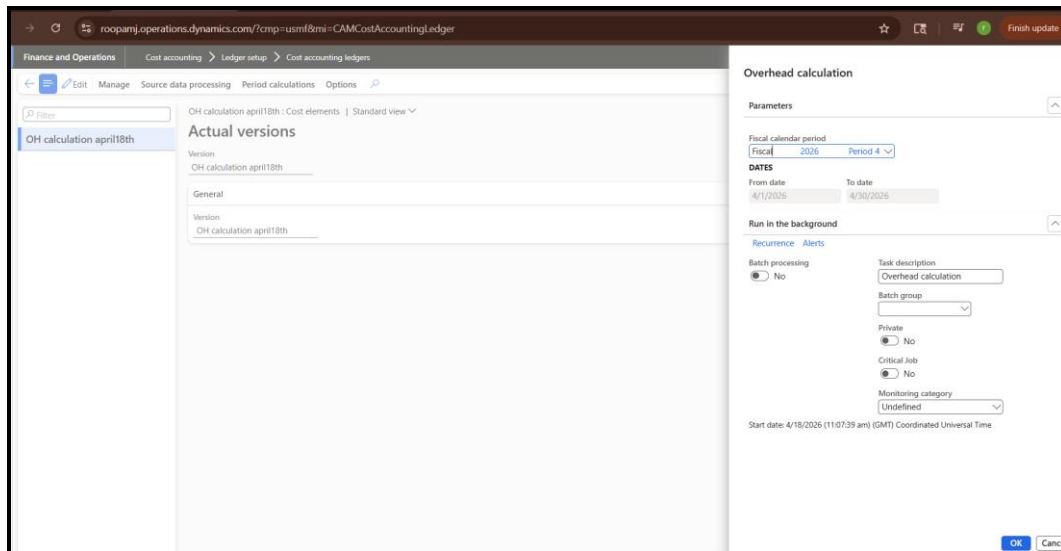
Valid from accounti...	Valid to accounting...	Cost control unit
1/1/2026	Never	OH calculation april18th cost center

10-Run Overhead calculation

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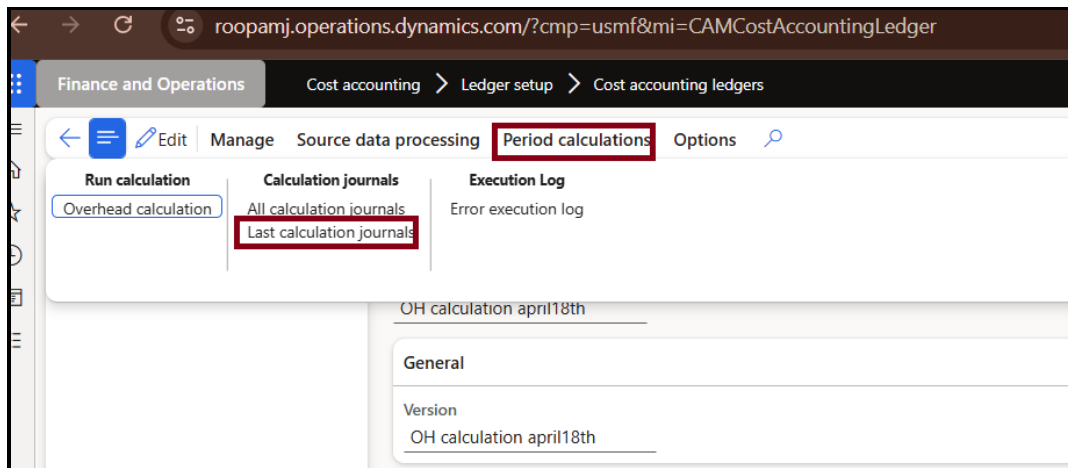


Process it



11-View overhead calculation entries

Now select last calculation journal to view posting



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This gives two types of journal, one for cost behavior and another cost distribution

Journal	Journal type	Fiscal calendar period	Version	Created date and time	Created by
0000000979	Cost behavior calculation journal	Fiscal 2026 Period 4	Overhead calculation / 4/18/2026 11:08:08 am ...	4/18/2026 11:08:08 AM	Admin
0000000980	Cost distribution journal	Fiscal 2026 Period 4	Overhead calculation / 4/18/2026 11:08:08 am ...	4/18/2026 11:08:09 AM	Admin

Select journal entries, the Cost object balance journal entry appears

Accounting date	Cost element dimension member	Cost object	Cost behavior	Amount
4/30/2026	Cost elements 600250	Salaries Manufactu... OH calcu... cost cen... Cost cen... 007	Trade Shows Unclassified	21,000.00

Select cost entries and see how data moved from unclassified to fixed, basis the rule

Cost object	Accounting date	Debit	Credit	Amount	Cost element dimension member	Cost behavior	Version
OH calculati... cost center Cost centers 007	4/30/2026	-21,000.00		-21,000.00	cost ... 600250 Salaries ..	Unclassified	Overhead calculati...
OH calculati... cost center Cost centers 007	4/30/2026	21,000.00		21,000.00	cost ... 600250 Salaries ..	Fixed cost	Overhead calculati...

Come to previous screen and review Cost distribution journal

Accounting date	Cost element dimension member	Cost object	Cost behavior	Amount
4/30/2026	Cost elements 600250	Salaries Manufactu... OH calcu... cost cen... Cost cen... 007	Trade Shows Fixed cost	21,000.00

Select cost entries, we see that 007 is credited and so NIL balance and cost moved to 009 and 010.

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roopamj.operations.dynamics.com/?cmp=usmf&mi=CAMCostAccountingLedger

Finance and Operations

Cost accounting > Ledger setup > Cost accounting ledgers

<

Trace rule

Journal entry

Source entry

Allocation base

Options

Cost entries | 4/30/2026

Standard view

Filter

Fiscal calendar period

Period start

End date

Version

☐ Cost object	Accounting date	Debit	Credit	Amount	Cost element dimension me...	Cost behavior	Version
☒ OH calculati... cost center Cost centers 007 Trade Shows 4/30/2026	4/30/2026	21,000.00	-21,000.00	Cost ... 600250 Salaries ...	Fixed cost	Overhead calculation / 4/...	
OH calculati... cost center Cost centers 009 Service Operati... 4/30/2026	4/30/2026	10,500.00	10,500.00	Cost ... 600250 Salaries ...	Fixed cost	Overhead calculation / 4/...	
OH calculati... cost center Cost centers 010 Production 4/30/2026	4/30/2026	10,500.00	10,500.00	Cost ... 600250 Salaries ...	Fixed cost	Overhead calculation / 4/...	

With this we have met out target to transfer salary expense.

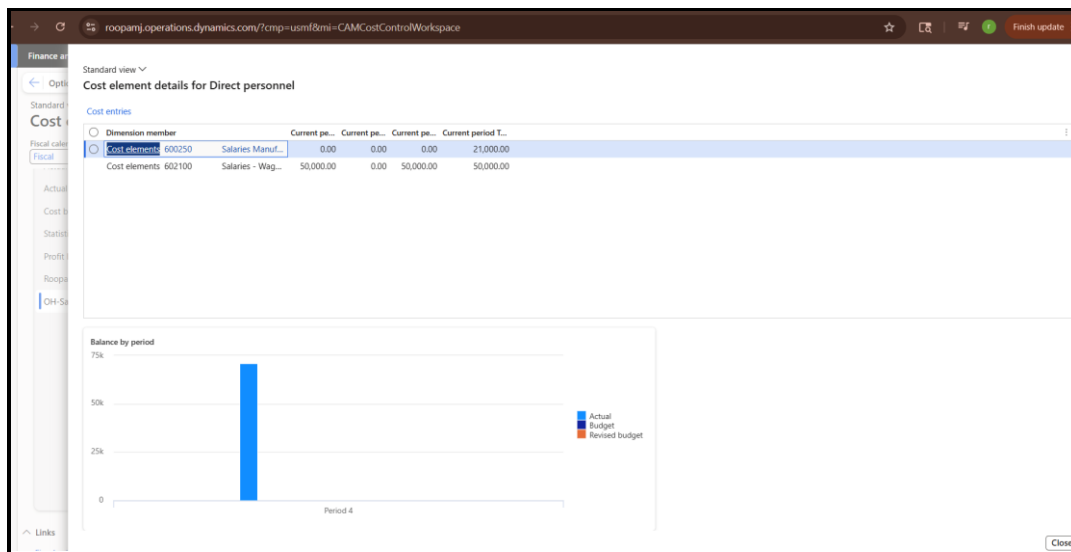
Reporting-Cost control workspace

When we view the cost control workspace, as this is movement between cost center there is no impact at higher level like **Cost object dimension hierarchy -Organization**.

Node name	Current period (fixed)	Current period (variable)
> CDS P/L	81,836.20	124,812.80
> Total Cost	81,836.20	124,812.80
> Personnel costs	50,300.00	0.00
Direct personnel	50,300.00	0.00
Indirect personnel	0.00	0.00
Pension & Benefits	0.00	0.00
> Expenses	31,536.20	124,812.80
Business travel	0.00	0.00
Consumables	0.00	0.00

Click view details

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Thanks for reading😊